

When my Guruji introduced me to scalp trading, *I thought this was totally absurd - buying and selling for a few points. It would cost more in brokerages and taxes. However, as soon as I learned how it was done, I got a clear understanding of the concept.*

The idea is to place large volume of orders for quick gains. When we trade with huge volumes, the brokerage is covered and we end up making profits. However, we can also incur losses if not traded with a plan.



After learning about scalp trading, I devised some plans and tested them in the live markets but, they failed miserably. This usually happens when you try to build a strategy that is profitable in the long run. No strategy will give you loads of profits. It will have drawdowns and losing streaks that will shake you from the core but you have to adhere to your rules.

The technical tools I use for scalping are RSI and VWAP.

RSI 14 close SMA 14 2

VWAP Session hlc3 0 1 2 3

The RSI range from 70-100 is considered the overbought zone where the price tends to slow down after an advancement.

100.00
75.00
50.00
25.00
0.00

The 30-0 range is the oversold zone where the price exhausts after a decline.